

The Merchant Conversation Guide: What Actually Matters When Orange-Pilling Local Businesses

Reading time: 11 minutes

Purpose: Understanding what merchants actually care about, the real obstacles you'll face, and how to handle the tax/compliance questions without sounding like an idiot.

The Core Problem You're Solving

The problem: merchants are paying 2.6% + \$0.15 per transaction to accept credit cards, and they hate it. Every January they review these fees and feel ripped off. But they don't know there's an alternative that costs less and potentially builds wealth for their business.

You understand Bitcoin. You run a node, you understand UTXO management, you know why self-custody matters. The merchant you're talking to doesn't care about any of that.

What they care about:

- Making payroll this month
- Not looking stupid to their staff or customers
- Whether their business will be worth more or less in 5 years
- Not getting scammed

What they don't care about:

- Austrian economics
- The halving schedule
- Why fiat is debasing
- Your opinions on the Federal Reserve

The gap you need to bridge is not technical knowledge - it's **trust and business value**. They need to believe:

1. This won't embarrass them
2. This will make them money (or at least save money)
3. You're not trying to take advantage of them
4. This is simpler than it sounds

Simply put: accepting Bitcoin strengthens the bottom line.

What You're Actually Up Against

Obstacle #1: They Think Bitcoin Is Either 2013 or a Scam

Some merchants think Bitcoin is still Silk Road, Mt. Gox, and criminals. Others think it's fundamentally not real - just a scam or Ponzi scheme that will disappear. They don't know that:

- Square (Block, Inc.) just enabled 4 million merchants
- 58 million Cash App users can now pay in Bitcoin
- Fidelity, BlackRock, and pension funds own it
- El Salvador made it legal tender
- Public companies hold it on their balance sheets

How to handle this: Don't argue with their perception. Just update them: *"Yeah, I've heard people say that. Here's what changed: Square - the company that processes your payments - just launched Bitcoin payments. They wouldn't do this if it wasn't real. Fidelity and BlackRock wouldn't be holding billions in it if it was a scam. But I get if you're skeptical."*

The institutional credibility does the heavy lifting. You're not asking them to trust Bitcoin - you're asking them to trust Square's risk assessment and the fact that the world's largest financial institutions are holding it.

Obstacle #2: Unit Bias Is Destroying Your Pitch

When you tell a merchant they could accumulate 0.15 BTC over 5 years, they hear "not even one whole Bitcoin." This sounds trivial.

When you tell them 0.15 BTC could be worth \$150,000 by 2035, their brain rejects it as impossible because "it's not even a whole one."

How to handle this: Lead with dollar amounts, not BTC amounts. *"Your business could accumulate \$70,000 in value over 5 years while still taking 50% as cash"* sounds real. *"You'll accumulate 0.1474 BTC"* sounds like nothing.

Show them the BTC quantity in your written materials, but speak in dollars during the conversation.

Obstacle #3: They Don't Trust You Yet

You're a customer who knows their name, but you're still basically a stranger walking in with a financial pitch. That triggers every scam antenna they have.

How to reduce this:

- Be a regular customer first (weeks or months before bringing this up)
- Bring printed materials from Square's website or the other resources bitcoiners are putting together, not just your own analysis
- Offer to help them set it up rather than just telling them to do it
- Make it clear you have zero financial interest in whether they do this
- Be willing to walk away if they're not interested

The more you push, the more suspicious they become. The less attached you are to the outcome, the more likely they are to trust you.

Obstacle #4: The Volatility Fear Is Legitimate

Bitcoin dropped from \$125K to \$95K recently. If they saw that on the news, they're thinking *"that's the last thing I want my business revenue exposed to."*

How to handle this: Acknowledge it directly. Don't pretend volatility doesn't exist or isn't scary.

"Yeah, Bitcoin is volatile - that's real. The way Square designed this lets you choose: convert 100% to dollars immediately if you want zero exposure, hold 100% if you believe in it, or split 50/50. Most businesses will probably do 50/50 - you get the certainty of cash plus the upside potential of Bitcoin. Even if Bitcoin dropped 50%, you'd still have the cash half plus the fee savings."

The 50/50 option is psychologically brilliant because it removes the binary choice. They're not betting their business - they're experimenting with a portion of revenue they're already receiving.

The Tax and Compliance Questions They'll Ask

You're not a tax expert and you shouldn't pretend to be. But you need to know enough to not sound ignorant. Here's what Square's documentation actually says:

"Will I owe taxes on Bitcoin payments?"

Short answer: Yes, Bitcoin payments are taxed as ordinary business income, just like cash or credit card payments.

What Square says: When you receive Bitcoin as payment for goods or services, you report it as gross income at the fair market value (in USD) at the time you received it. This is the same as any other payment method.

How to explain it: *"You'll owe taxes on the revenue just like normal - whether someone pays you \$50 in cash, \$50 on a credit card, or \$50 in Bitcoin, it's \$50 of revenue to the IRS. Square handles the valuation automatically and provides tax documentation."*

"What if I hold Bitcoin and sell it later?"

What Square says: If you hold Bitcoin and later sell it, you may owe capital gains tax on any increase in value. Square provides Form 1099-DA showing your transactions.

How to explain it: *"If you choose to hold some Bitcoin and it goes up in value, you'll owe capital gains when you sell - same as if you bought stock and sold it later. Square tracks all this and gives you the tax forms. Your accountant will know how to handle it."*

"What about sales tax?"

What Square says: Sales tax applies normally. Square automatically calculates sales tax based on the USD equivalent at the time of transaction.

How to explain it: *"Sales tax works exactly the same. If you charge 6% sales tax on a \$50 item, you charge 6% whether they pay in cash, credit card, or Bitcoin. Square handles all the conversion automatically."*

"Do I need to track every Bitcoin transaction separately?"

What Square says: Square's Dashboard automatically tracks all Bitcoin transactions including amount, fees, date, and time. Market purchases and sales are included in tax documentation.

How to explain it: *"Square tracks everything automatically in your dashboard. You don't need to maintain separate records - it's all in the same place as your credit card transactions."*

"What if I just want to convert everything to dollars immediately?"

How to explain it: *"Then Bitcoin is just a cheaper payment method for you. You receive it and Square converts it to dollars instantly. From a tax perspective, it's identical to a credit card payment - you report the revenue, that's it. No capital gains, no Bitcoin exposure, just lower fees."*

The One Tax Question You Can't Answer

"How exactly should I report this on my Schedule C / corporate return / partnership return?"

Your response: *"That's a great question for your accountant. Square provides all the documentation they'll need - the 1099 forms, transaction history, everything. But I'm not a tax expert, so I can't tell you exactly how to file it. Your accountant will know."*

Never pretend to know more than you do about tax treatment. Merchants respect honesty more than fake expertise.

Who to Target (And Who to Avoid)

We've already covered the detailed math for coffee shops, liquor stores, and boutiques in the other documents. These are your best targets because the owner is typically present, they use Square, they feel the credit card fee pain every month, and they care what other local businesses are doing.

Restaurants and bars are harder - partly because many don't use Square as their POS system, and partly because the owner often isn't there during operating hours. You'll waste time talking to staff who can't make the decision. If you know the owner personally and they use Square, great. Otherwise, start with retail.

Franchises are way above our pay grade. The local manager at a Starbucks or McDonald's has zero authority to enable Bitcoin payments - that decision happens at corporate. The only exception might be if you personally know a franchise owner in your town who has some operational autonomy, but even then it's probably not worth your time compared to independent businesses.

Common Situations and How to Handle Them

"My customers don't have Bitcoin"

Usually means: no demand. Response: *"That's why Cash App integration is perfect - 58 million users pay you in dollars, you receive Bitcoin. They don't need to own or understand Bitcoin. Plus, Bitcoin users actively seek out businesses that accept it - free marketing to a niche audience."*

"Bitcoin is for criminals"

Usually means: only knowledge is 2013 news. Response: *"Square - processing billions for millions of businesses - just launched this. Fidelity and BlackRock own it now. It's mainstream. But I get if you're not comfortable yet."*

"I'll think about it"

Usually means: interested but scared/busy. Response: *"No pressure. I'll email you the one-pager. If you decide to do it, happy to help with setup."*

"What if Bitcoin crashes?"

Usually means: don't want to lose money. Response: *"You can convert 100% to dollars instantly - zero Bitcoin exposure, just fee savings. If you hold some with the 50/50 option and Bitcoin went to zero, you'd only lose profit on 1-4% of sales. But you keep the cash half plus all the fee savings."*

"My business partner needs to agree"

Usually means: I like it but need approval. Response: *"Makes sense. Want me to come back when you're both here, or I can put together numbers you can show them?"*

"I don't have time to learn something new"

Usually means: sounds complicated. Response: *"Takes 2 minutes to set up in Square, then it's automatic. Actually easier than credit cards - no chargebacks or disputes."*

Reference Conversation Examples

These aren't scripts to memorize - they're examples of how real conversations might go. Use them to calibrate your approach.

Example 1: The Interested Coffee Shop Owner

You: *"Hey Sarah, you guys use Square for payments, right?"*

Sarah: *"Yeah, we do."*

You: *"Did you see Square just launched Bitcoin payments? I was running some numbers and thought it might save you money on fees."*

Sarah: *"Hmm, I don't really know anything about Bitcoin though."*

You: *"That's actually perfect - your customers don't need to either. They can pay with Cash App in regular dollars, you just receive it as Bitcoin instead of credit card. Could save you a few thousand a year in fees."*

Sarah: *"How much are we talking?"*

You: *"Well, you're probably doing around 40,000 transactions a year at maybe \$10 average, so you're paying Square around \$16,000 in credit card fees. With Bitcoin it'd be zero through 2026, then 1% after that instead of 2.6% plus 15 cents."*

Sarah: *"Wait, zero fees? What's the catch?"*

You: *"No catch - Square's trying to promote Bitcoin adoption. They make money other ways. You can choose to keep it as Bitcoin or convert it to dollars automatically. Most businesses will probably do 50/50 - get some fee savings in cash, build some Bitcoin over time."*

Sarah: *"What if Bitcoin crashes?"*

You: "If you convert everything to dollars, you have zero Bitcoin exposure - it's just a cheaper payment method. If you do the 50/50 thing, worst case Bitcoin goes to zero and you've 'lost' the profit on like 1-2% of your sales over the next few years. But you've still saved thousands in fees and still got the cash half."

Sarah: "Interesting. Can I see the actual numbers?"

You: "Yeah, I'll put together something specific for your business. When's a good time to come back - you seem pretty busy right now."

Sarah: "Tuesdays around 2pm are usually slow."

You: "Perfect. I'll come by next Tuesday with the breakdown. You can decide if it makes sense."

Example 2: The Skeptical Liquor Store Owner

You: "Hey Mike, quick question - do you guys use Square or a different payment processor?"

Mike: "Square. Why?"

You: "They just launched Bitcoin payments with way lower fees than credit cards. Thought it might be worth looking at for your business."

Mike: "Bitcoin? Isn't that for criminals and hackers?"

You: "I've heard people say that. But Square - the company that's processing payments for millions of businesses - just launched this. Fidelity and BlackRock are in now too. It's become pretty mainstream. But I get if you're skeptical."

Mike: "I mean, even if it's legit, I don't want to deal with something volatile."

You: "Makes sense. The cool thing is you can set it to convert 100% to dollars instantly - so you're just using it as a cheaper payment rail. You never actually hold any Bitcoin if you don't want to. You just save on the fees."

Mike: "How much savings are we talking?"

You: "Depends on your volume, but for most liquor stores it's \$25,000-\$30,000 a year in credit card fees. Bitcoin would be zero through 2026, then 1% instead of 2.6% plus 15 cents per transaction."

Mike: "That's like \$2,500 a month I'm paying Visa and Mastercard?"

You: "Roughly, yeah. Percentage fees plus the per-transaction charges add up fast."

Mike: "Wow...Let me see the numbers for my actual business."

You: *"Sure. I can run your approximate numbers and show you what it would look like. Want me to come back when it's less busy?"*

Mike: *"Yeah, come by Thursday morning before the lunch rush."*

Example 3: The Too-Busy Boutique Owner

You: *"Hey Lisa, I know you're swamped, but real quick - you use Square, right?"*

Lisa: *"Yeah, but I'm literally in the middle of inventory, can this wait?"*

You: *"Totally. Here's the one-page version. Square just launched Bitcoin payments - saves you a ton on credit card fees. If you want to see your specific numbers, text me. I'm in here all the time anyway."*

Lisa: *"Okay, I'll look at it later. Thanks."*

[You leave the one-pager on the counter and leave]

[Three weeks later, she texts you]

Lisa: *"Hey, I finally looked at that Bitcoin thing. Is it really \$40,000 a year in credit card fees??"*

You: *"Probably close to that, yeah. Higher ticket items get hit harder by the percentage fees."*

Lisa: *"Can you come by tomorrow and explain how this actually works?"*

[Now you have the detailed conversation]

Final Thoughts

You're not trying to convert every merchant. You're looking for the 1 in 10 who are already frustrated with fees, willing to try something new, and open to learning. When you find them and help them succeed, they become advocates who tell other business owners. That's how the circular economy forms - one merchant at a time.

Your job is to plant seeds with good information and let merchants decide. Some will say yes immediately, most will say "let me think about it," and some will say no. All of that is fine.

Start with 10 target businesses. Get 1-2 to say yes. Help them succeed. Let them tell their friends.

Additional Resources

Related documents in this series:

- *Orange-Pilling Local Merchants* (main article with full business models)
- Coffee shop 15-minute analysis
- Liquor store 15-minute analysis
- *Why 0.15 Bitcoin matters* (Power Law explanation)

For implementation:

- Square's Bitcoin documentation: square.com/us/en/bitcoin
- Square's setup guide and tax FAQ

Other merchant adoption resources: There are other passionate Bitcoiners working on merchant adoption with excellent resources. This is our contribution to the movement, not the only approach. We'll update these documents as Square's offering evolves and as we learn from real-world merchant conversations.

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